WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

PAKISTAN

Asia

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Karachi and Port Qasim (Sindh)	Commercial and financial capital; home to the country's main seaports, the State Bank of Pakistan and the Pakistan Stock Exchange	Financial services, port logistics, energy, manufacturing, retail
Lahore and central Punjab	Largest provincial economy and a leading base for manufacturing, services and a fast-growing technology workforce	Textiles, food processing, IT services, consumer goods
Islamabad–Rawalpindi	Federal capital and seat of the Special Investment Facilitation Council and the Board of Investment; an expanding IT and services cluster	Government engagement, IT and digital services, real estate
Sialkot and Faisalabad (Punjab)	Export-manufacturing clusters for sports goods, surgical instruments and textiles; sports-goods exports rose 18% in July–May FY26	Textiles and apparel, sports goods, light engineering
Balochistan (Reko Diq and Gwadar)	Location of Reko Diq, one of the world's largest undeveloped copper-gold deposits (Phase 1 capital cost previously estimated at $5.6–6.0 billion), and the CPEC port of Gwadar	Mining, port development, energy
Special Economic Zones (44 nationwide)	SEZs have grown from 7 in 2019 to 44, serving as anchor platforms for export-oriented manufacturing under CPEC Phase II	Export manufacturing, industrial processing, logistics
Khyber Pakhtunkhwa	Northern province with hydropower and mineral resources and Pakistan's historic land gateway to Afghanistan and Central Asia	Hydropower, minerals, cross-border trade (on normalisation)

INVESTOR ENTRY ROUTES

- Special Investment Facilitation Council (SIFC), a civil-military apex forum including the Prime Minister and Chief of Army Staff, providing single-window facilitation and policy continuity in defence, agriculture, minerals, IT and energy
- Board of Investment (BOI), the national investment promotion agency, which facilitates investors, runs the SIFC's day-to-day operations and leads the Special Economic Zone programme

- Foreign Private Investment (Promotion and Protection) Act 1976 and Furtherance and Protection of Economic Reforms Act 1992, guaranteeing tax parity with domestic investors; most sectors carry no foreign-ownership cap
- Special Economic Zones (44 notified) for export-oriented manufacturing, with BOI support on utilities and land-lease arrangements
- State Bank of Pakistan foreign-exchange framework: profits and dividends are repatriable, with foreign investors remitting $2.31 billion in FY26; portfolio investors use Special Convertible Rupee Accounts
- SECP Virtual One Stop Shop for company registration, and the Pakistan Stock Exchange for listed-equity and capital-markets entry
- Sector-entry routes through power and renewables (the largest FDI recipient at $958 million in FY26), financial services ($806 million) and minerals partnerships with federal and provincial state entities

MARKET-ENTRY OBSERVATION

Pakistan in October 2026 is consolidating a hard-won macroeconomic stabilisation. GDP grew 3.7% in FY26, the fastest pace in four years, with manufacturing up 6.6% and large-scale manufacturing up 6.1%, while per capita income rose to $1,901. Fiscal discipline has been notable: a primary surplus of 3.2% of GDP in July–March FY26 and public debt falling to 68.5% of GDP from 75% in 2023. The IMF completed the third review of the $7 billion programme in May 2026, releasing more than $1.2 billion, and S&P has upgraded the sovereign to "B". Workers' remittances reached a record $41.6 billion in FY26, up 8.6%, and total liquid reserves stood at $26.9 billion in early October 2026. FDI of $1.64 billion in FY26 was lower than the previous year, but inflows into power and financial services remained robust and foreign firms repatriated $2.31 billion in profits, underlining an open and functioning repatriation channel.

Pakistan's main structural challenge is its exposure to imported energy and external financing, which the Middle East conflict of 2026 has tested. Higher global oil prices lifted CPI inflation to 10.26% in September 2026, easing to 9.6% in October, after an average of 6.2% in July–April FY26. The State Bank has responded with measured tightening, raising the rate by 50 basis points to 12% in October 2026 against a medium-term target of 5–7%, and the external account has held up well: FY26 ended with only a small current account deficit, SBP reserves of $21.5 billion exceed the $18 billion end-June target, and Gulf-based remittances (Saudi Arabia $9.8 billion, UAE $8.8 billion) continue to provide a deep cushion. The same pressures underscore the opportunity in domestic energy, renewables, minerals and export manufacturing, all priority areas for the SIFC, where investment directly strengthens Pakistan's external resilience.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Inflation and interest rates	Oil-linked inflation reached 10.26% in September 2026 before easing to 9.6% in October, and the policy rate was raised to 12% in October 2026, raising local borrowing costs	Fund projects in hard currency or with hedging where possible; inflation expectations have eased and the 5–7% target anchors a medium-term easing path
Imported-energy exposure	The Middle East conflict has raised oil prices and lengthened supply chains, which feed through to the import bill and prices	Strong remittances and rebuilt reserves cushion the impact; domestic power, renewables and energy-efficiency projects are priority opportunities
Security in Balochistan and Khyber Pakhtunkhwa	Security conditions have affected some western projects; Barrick has slowed Reko Diq development and extended its review to mid-2027	Commission specialist security and risk advice; Barrick has approved Phase 1 on a reduced basis and affirms the project's long-term value
Afghan border closure	Main land crossings with Afghanistan have been largely closed since October 2025, interrupting transit trade and Central Asian overland links	Route trade through Karachi and Port Qasim; position for cross-border logistics and Central Asian connectivity on normalisation
Converting interest into FDI	FDI fell 34% to $1.64 billion in FY26, despite improving sentiment and macro stability	Use SIFC single-window facilitation and BOI support to accelerate approvals; early entrants face less competition for priority projects

Issue	Potential Impact	Possible Mitigation
External financing and debt	Pakistan relies on the IMF programme and official inflows, with external public debt of $92.2 billion	IMF reviews are on track, debt-to-GDP is falling and the S&P upgrade to "B" signals improving credit; structure contracts in hard currency with appropriate guarantees
Fiscal and tax reform	Ongoing revenue measures under the IMF programme can change the tax treatment of some sectors	Tax parity guarantees under the 1976 Act apply; take local tax advice and engage through SIFC and chambers on policy consultation

INVESTOR RISK NOTE

Pakistan's risk profile reflects an economy that has moved from crisis management to stabilisation, with a primary fiscal surplus, falling debt ratios, rebuilt reserves, completed IMF reviews and a sovereign rating upgrade. The 2026 rise in inflation was driven largely by external oil prices linked to the Middle East conflict, and the State Bank's measured policy response, with the rate at 12%, and the depth of remittance inflows have kept the external account broadly balanced. Security conditions in parts of Balochistan and Khyber Pakhtunkhwa, and the closure of the Afghan border since October 2025, are the principal location-specific considerations; they are concentrated geographically and can be managed through specialist security advice, careful site selection and phased project structures. Profit repatriation of $2.31 billion in FY26 shows that foreign investors can access their returns. Investors should plan for elevated local interest rates in the near term, while taking comfort from Pakistan's improving fiscal credibility and its sustained policy focus on investment facilitation.

MARKET ACCESS

Pakistan has been a WTO member since 1995 and enjoys preferential access to the European Union under the GSP+ scheme, supporting its textile and apparel exports to major EU markets. It is a party to the South Asian Free Trade Area (SAFTA) and has a free trade agreement with China, which, through the China-Pakistan Economic Corridor (CPEC), links Gwadar and Pakistan's road and rail network to western China. The United States is Pakistan's largest export market, taking around 20% of exports and generating a $2.86 billion trade surplus, followed by China (9%) and Germany, Spain and the Netherlands (around 5% each). Karachi and Port Qasim handle most seaborne trade, while overland links to Afghanistan and Central Asia offer longer-term upside once border trade normalises.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Shehbaz Sharif)	Sets economic and investment policy and chairs the SIFC apex committee	Primary reference point for Pakistan's strategic economic direction
Special Investment Facilitation Council (SIFC)	Civil-military apex forum for fast-tracking investment in defence, agriculture, minerals, IT and energy	Principal channel for large or strategic projects requiring cross-government coordination
Board of Investment (BOI)	National investment promotion agency; runs SIFC operations and the SEZ programme	Standard first point of contact for market entry, incentives and zone allocation
State Bank of Pakistan	Central bank; sets monetary policy and governs foreign-exchange and repatriation rules	Relevant for currency, repatriation and banking-sector matters
Ministry of Finance	Leads fiscal policy, the IMF programme and external financing	Key interlocutor on tax, fiscal incentives and sovereign-linked transactions
Securities and Exchange Commission of Pakistan (SECP) and Pakistan Stock Exchange	Corporate and capital-markets regulator, with a Virtual One Stop Shop for registration, and the national stock exchange	Relevant for company set-up, listings and portfolio investment
Reko Diq Mining Company (Barrick-led)	Developer of the flagship copper-gold	Bellwether for minerals-sector investment

Actor	Why It Matters	Waverley Engagement Angle
	project in Balochistan, the country's largest prospective FDI project	and supply-chain opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Overseas Investors Chamber of Commerce and Industry (OICCI), representing multinational investors, and the American Business Council of Pakistan are the leading foreign business associations, alongside the Federation of Pakistan Chambers of Commerce and Industry (FPCCI) and the Karachi and Lahore chambers for domestic liaison. The SIFC and BOI host investor conferences and country-specific business dialogues, including a China B2B investment conference in September 2025 that produced more than 160 MoUs and joint ventures. The IMF, World Bank, Asian Development Bank and IFC are active in Pakistan's energy, infrastructure and mining sectors, and the large Pakistani diaspora in the Gulf and the United Kingdom is an increasingly important source of investment and business networks.

INVESTOR PROFILE BEST SUITED

Pakistan suits investors with a medium- to long-term horizon seeking exposure to a large, young consumer market and a stabilising economy: power and renewables investors, building on the sector's position as the largest FDI recipient; financial-services and fintech investors, with financial services attracting rising inflows; export manufacturers in textiles, apparel and sports goods using GSP+ access to the EU and Pakistan's leading position in the US market; IT and digital-services firms drawn by IT exports above $3.8 billion; and minerals investors prepared to work with state partners and specialist security planning. Gulf, Chinese and UK-linked investors with established ties to Pakistan are particularly well placed.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Board of Investment and SIFC early
Open dialogue with the BOI on sector incentives and zone options, and use the SIFC single window for larger or strategic projects needing cross-government coordination.

STEP 2: Structure for currency and interest-rate conditions
Plan financing around the 12% policy rate and recent inflation, using hard-currency funding, hedging and SBP-registered investment channels to secure repatriation.

STEP 3: Select locations with a security and logistics lens
Prioritise Karachi, Punjab and Islamabad for most operations, and commission specialist security advice for projects in Balochistan or Khyber Pakhtunkhwa.

STEP 4: Evaluate Special Economic Zones for export manufacturing
Assess the 44 notified SEZs for utilities, land-lease terms and proximity to ports for export-oriented production.

STEP 5: Build relationships through chambers and diaspora networks
Join the OICCI or the American Business Council and tap Gulf and UK diaspora networks for partners, market intelligence and policy dialogue.